

MODERN INDIAN HISTORY



MODULE - 7

ENGLISH EIC - PART 2
DANISH EIC



**ENGLISH
EAST INDIA COMPANY**

**ESTABLISHMENT OF
EIC**

**REASON FOR
ESTABLISHMENT**

**INTERNAL
MANAGEMENT OF EIC**

**EFFORTS MADE TO
ESTABLISH EIC**

TACTICS ADOPTED

**SETTLEMENTS AND
THREE PRESIDENCY**

**REASON FOR
DECLINE**

ENGLISH EAST INDIA COMPANY

INTERNAL MANAGEMENT OF EIC

DECISION-MAKING WAS AT TWO LEVELS

SUPERIOR BODY IN LONDON

QUEEN ELIZABETH I

COURT OF PROPRIETOR

THE COURT OF DIRECTORS

Members of council consisted of senior merchants of the company. Everything was decided in council by majority vote.

SUBORDINATE BODY IN ASIA - PRESIDENCIES (COMPANY'S SEPARATE TRADING REGIONS).

GOVERNOR

PRESIDENCIES
IN ASIA

COUNCIL

In India, three presidencies were established at Madras, Bombay and Bengal

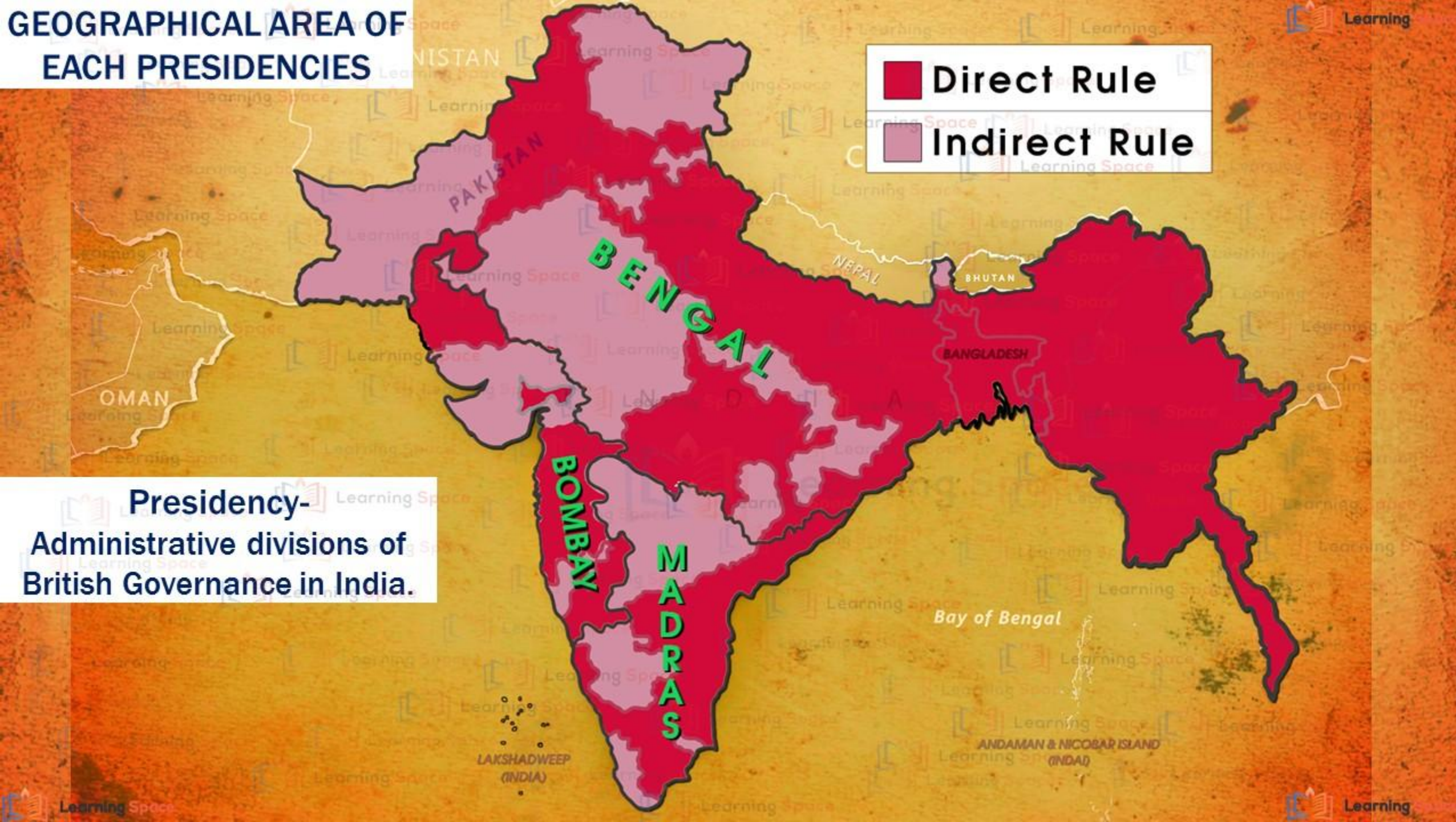
These presidencies were independent of each other **responsible to the Court of Directors in England**

They had **limited powers**.

GEOGRAPHICAL AREA OF EACH PRESIDENCIES

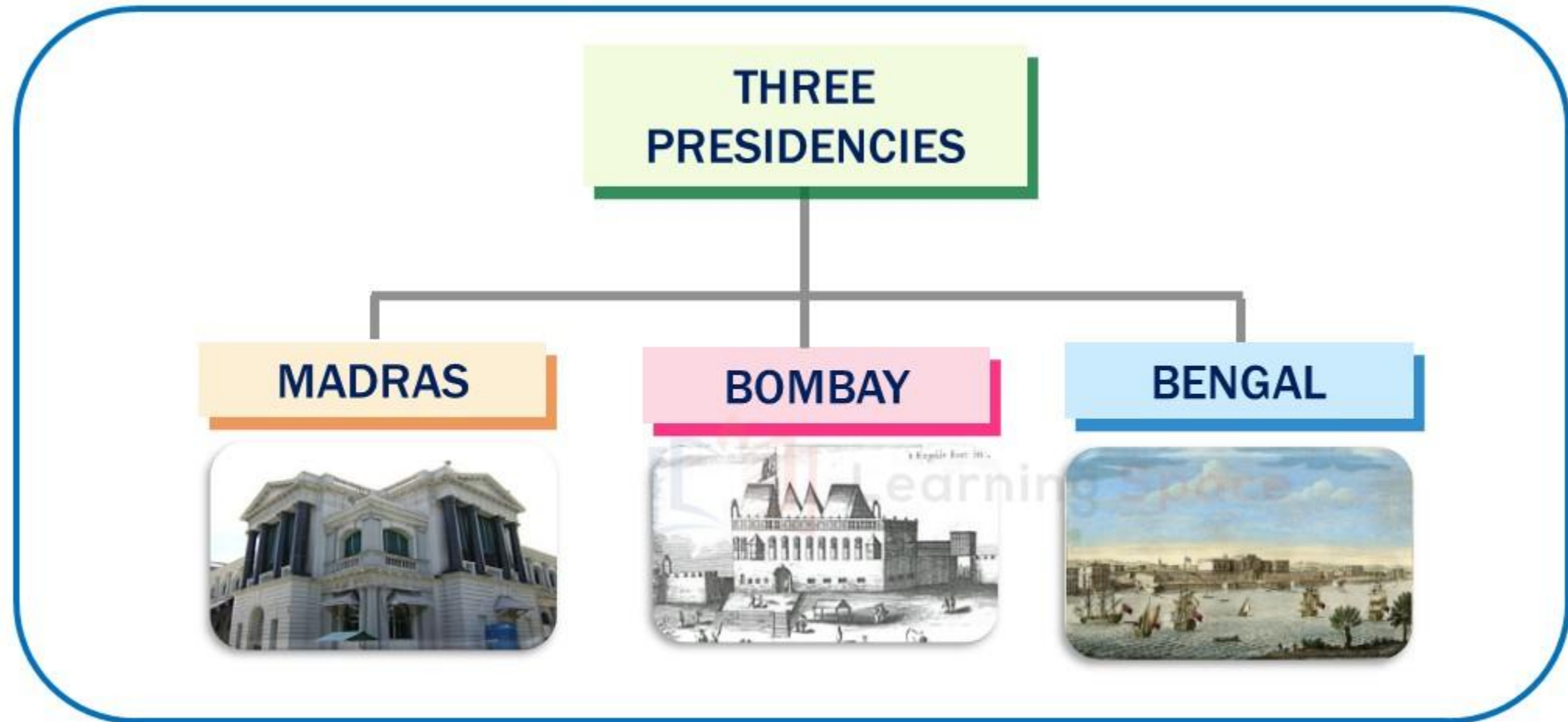


Presidency-
Administrative divisions of
British Governance in India.



ENGLISH EAST INDIA COMPANY

SETTLEMENTS OF EIC

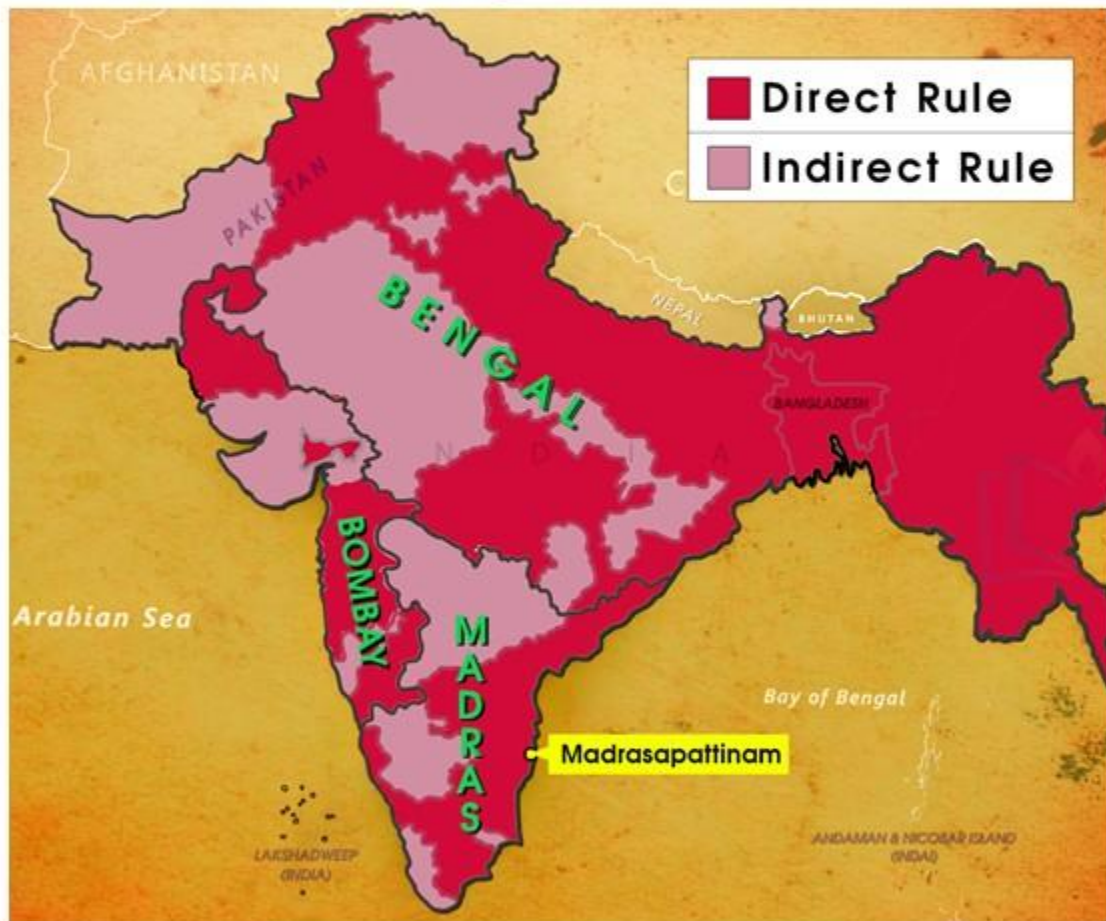


These are three strategic settlements which played an important role in strengthening English EIC

ENGLISH EAST INDIA COMPANY

STRATEGIC SETTLEMENTS OF EIC

ESTABLISHMENT OF PRESIDENCY OF MADRAS



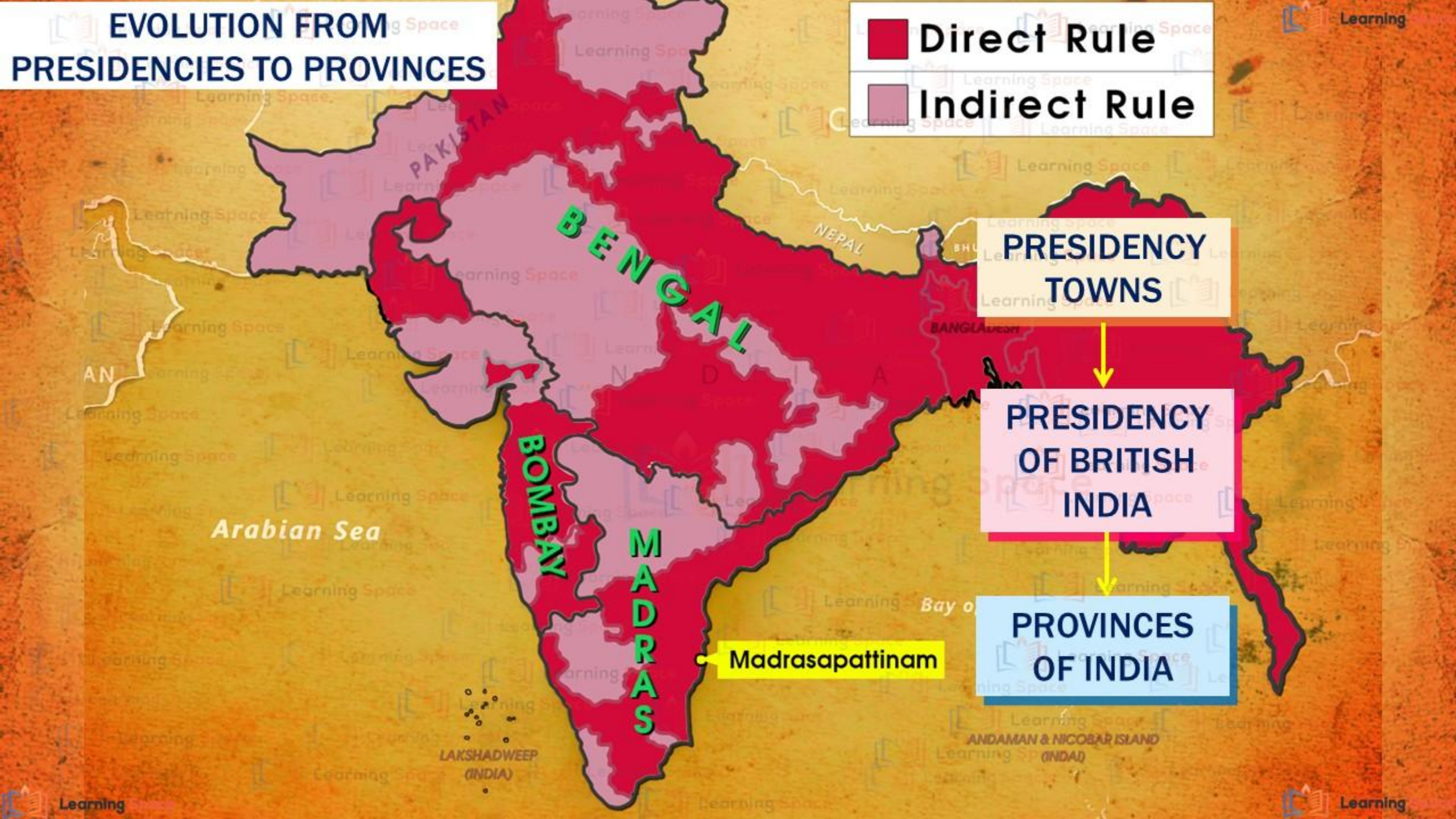
- 1 Conditions in south were more favourable to the English as they did not have to face strong empire.
- 2 In 1639, they purchased the land in Madrasapattinam from Raja of Chandragiri to establish Fort Saint George there.
- 3 In 1653, it was elevated to rank of a Presidency and thus First Presidency of British East India Company was established at Madras.

Madras was their first territorial possession in India.

EVOLUTION FROM PRESIDENCIES TO PROVINCES

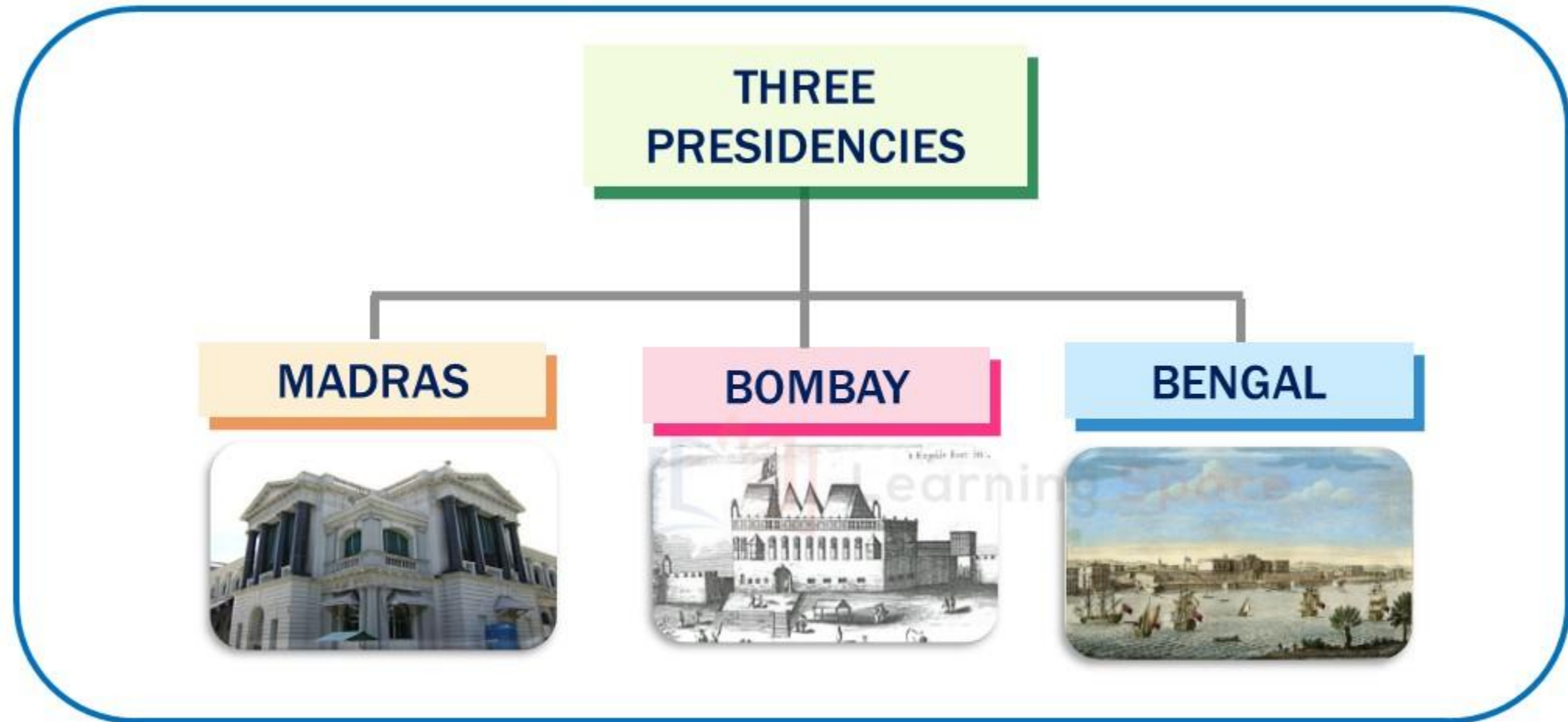
Direct Rule

Indirect Rule



ENGLISH EAST INDIA COMPANY

SETTLEMENTS OF EIC



These are three strategic settlements which played an important role in strengthening English EIC

ENGLISH EAST INDIA COMPANY

STRATEGIC SETTLEMENTS OF EIC

ESTABLISHMENT OF PRESIDENCY OF BOMBAY

1 Bombay, which was given to British government by Portuguese in 1661 as a part of Dowry of Catharine Braganza to Prince Charles II of England.

2 In 1665, BOMBAY was transferred to EIC for annual payment of 10 Pounds to British Government.

3 In 1667, British East India Company moved **Company** from **Surat to Bombay**.



4 **George Oxenden** became first governor of Bombay, succeeded by Gerald Aungier.

- He turned Bombay as a hub for commerce.
- He set up first mint in Bombay
- Imported first printing press to set up there.
- It later became seat of Presidency.

ENGLISH EAST INDIA COMPANY

STRATEGIC SETTLEMENTS OF EIC

ESTABLISHMENT OF PRESIDENCY OF BOMBAY

REASON FOR SHIFTING THE PRESIDENCY

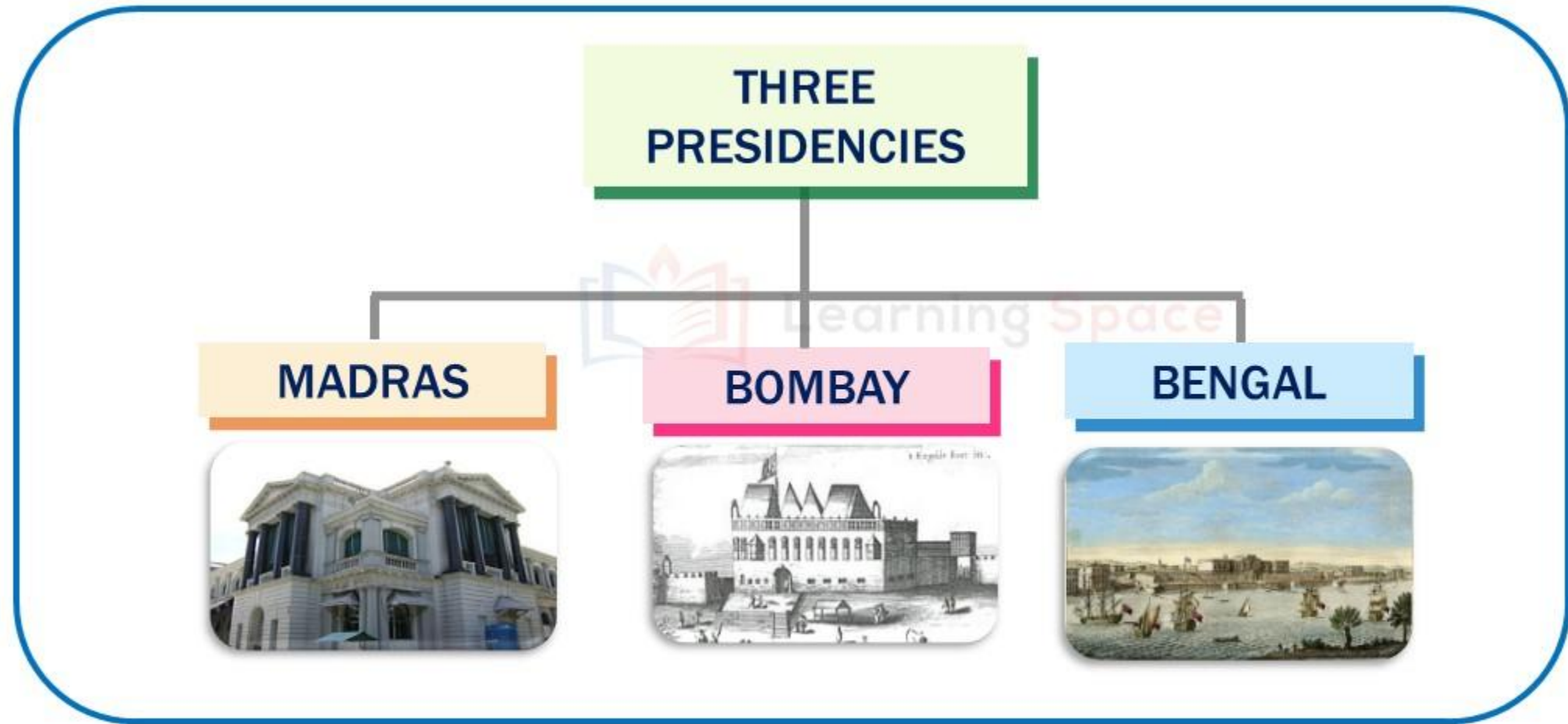


- Surat due to geographical advantage was an important trading post.
- EIC moved Company from Surat to Bombay due to 3 reasons.
 - ✓ Surat was also trading port of **Portuguese**.
 - ✓ **Marathas** were continuously raiding Surat.
 - ✓ **Mughal** allowed the company to do custom free trade from Surat for one year only.

Bombay is free from land threats and sea threats and later became the main trading post and seat of British presidency.

ENGLISH EAST INDIA COMPANY

SETTLEMENTS OF EIC



These are three strategic settlements which played an important role in strengthening English EIC

ENGLISH EAST INDIA COMPANY

STRATEGIC SETTLEMENTS OF EIC

ESTABLISHMENT OF PRESIDENCY OF BENGAL



In 1615, **Sir Thomas Roe** came to India in Court of Jahangir. He was able to get a **royal order "Farman"**. With this Farman, English Factory got a **legal authority** to set up permanent factory in Surat and **establish factory in all parts of the Mughal Empire**.

In 1667 AD, **Aurangzeb** issued **farman for trade in Bengal** with which British got trading privileges. But the Farman issued by Mughal emperor was **crippling Bengal economy**.

Later company Officer **Job Charnock** established company's **fortified factory at Sutanati** instead of Hooghly.

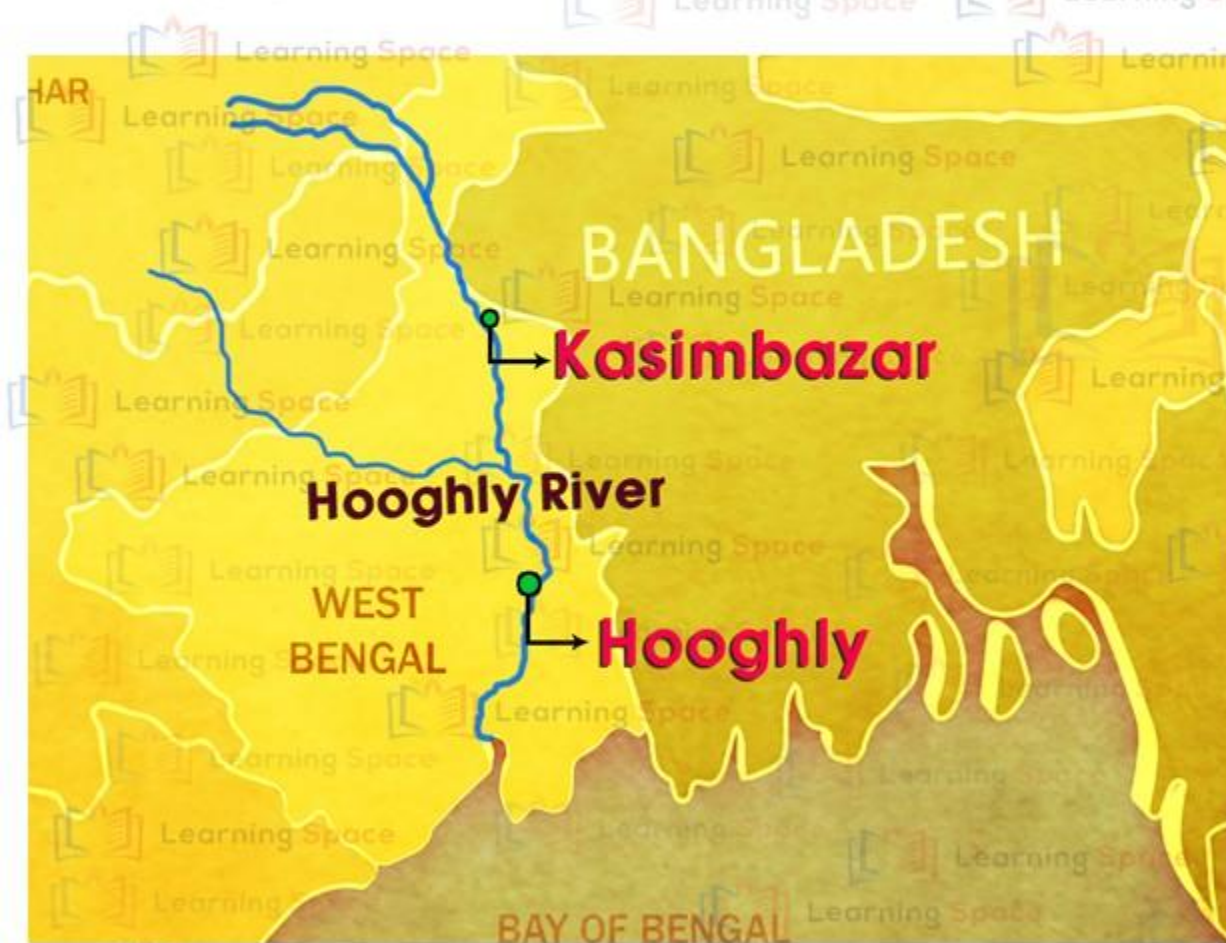
English humbly requested for pardon which was given by Mughal emperor as this **foreign trade was helping Indian artisans and merchants**

Nawab of Bengal Shaista Khan in 1686, confiscated the factory at Kasim Bazar. The company officers were forced to **quit Hooghly and Kasimbazar**.

ENGLISH EAST INDIA COMPANY

STRATEGIC SETTLEMENTS OF EIC

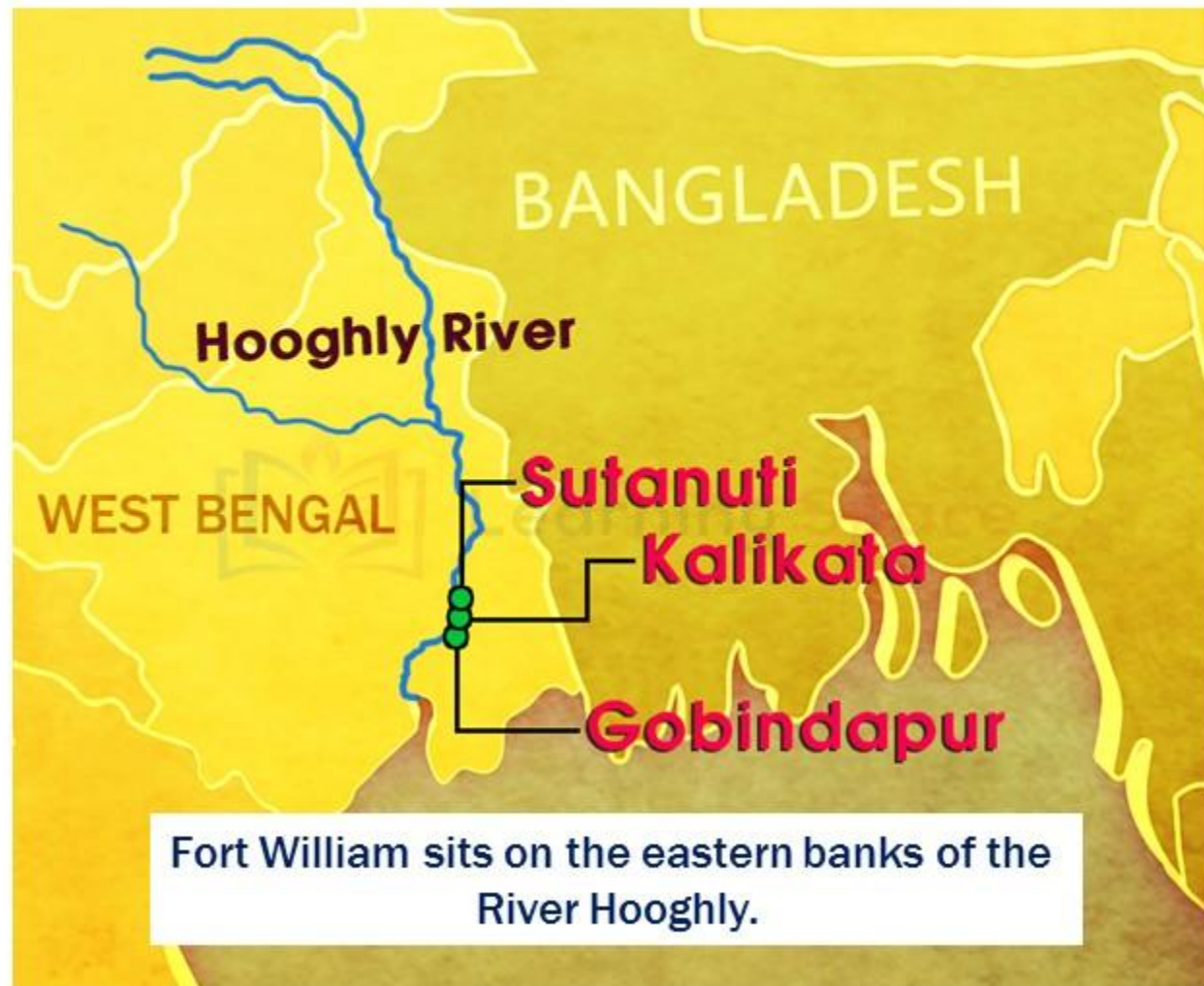
ESTABLISHMENT OF PRESIDENCY OF BENGAL



ENGLISH EAST INDIA COMPANY

STRATEGIC SETTLEMENTS OF EIC

ESTABLISHMENT OF PRESIDENCY OF BENGAL



Sutanuti and near by two villages– Kalikata and Gobindapur later became the **city of Calcutta** where **Fort William** was established. It later became the seat of Presidency.

ENGLISH EAST INDIA COMPANY

STRATEGIC SETTLEMENTS OF EIC

IMPORTANCE OF THREE PRESIDENCIES

STRATEGIC IMPORTANCE

- British settlements in Madras, Bombay and Calcutta became the **nuclei of flourishing cities**.
- **These settlements gave both strategic and commercial advantage to British, as all these were port cities**

COMMERCIAL IMPORTANCE

- New commercial opportunities became available.
- Large number of **Indian merchants and bankers** were attracted to these cities.
- Company commercial affairs flourished

INFRASTRUCTURAL IMPORTANCE

- Infrastructural facilities were made available like roads, administrative building, transport facilities etc.

ENGLISH EAST INDIA COMPANY

WHY DID THE EIC FAIL?

1 CORRUPTION

WEAK GOVERNANCE

- Added to this the **servants of the company** were involved in **Private trade**. Resulting in loss of revenue and profits **leading to Bankruptcy**.
- Company **took loan** from British government. This **paved the way** for British government to **regulate the affairs of the company**.

2



GOVERNMENT INTERFERENCE

- Henceforth, **Regulating act of 1773** was **enacted** to put control on the commercial functioning of the company.
- The **company's commercial monopoly** was **broken in 1813**, and from 1834 it was merely a managing agency for the British government of India.

3



REVOLT OF 1857

- It lost that role after the Indian Mutiny (1857).
- After this revolt, **company's ownership** was **transferred to the crown**.
- Finally in **1873** company **ceased to exist as a legal entity**.

Q.1 In the year 1613, where was the English East India Company given permission to set up a factory (trading post)? [2006]

- (a) Bangalore
- (b) Madras
- (c) Masulipattam
- (d) Surat

ANSWER d) Surat

- In 1612 Sir Thomas Roe visited to Mughal Emperor Jahangir to arrange for a commercial treaty that would give the company exclusive rights to reside and build factories in Surat and other areas.
- In return, the company offered to provide the Emperor with goods and rarities from the European market.
- Jahangir accepted the proposal and the company created trading posts in Surat (where a factory was built in 1613), Madras (1639), Bombay (1668), and Calcutta (1690).

Q.2 With whose permission did the English set up their first factory in Surat? [2009]

- (a) Akbar
- (b) Shahjahan
- (c) Jahangir
- (d) Aurangzeb



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ANSWER

(c) Jahangir

Q.3 During the time of which Mughal Emperor did the English East India Company establish its first factory in India? [2008]

- (a) Akbar
- (b) Shahjahan
- (c) Jahangir
- (d) Aurangzeb



ANSWER (c) Jahangir

- Q.4** With reference to the entry of European powers into India, which one of the following statements is not correct?
- (a) The Portuguese captured Goa in 1499
 - (b) The English opened their first factory in South India at Masulipatam.
 - (c) In India, the English Company opened its first permanent factory in Surat in 1613.
 - (d) Nicobar island was colonized by Danish.



ANSWER (a) The Portuguese captured Goa in 1499

MODERN HISTORY

EUROPEAN TRADERS



1

PORTUGUESE(CALICUT)



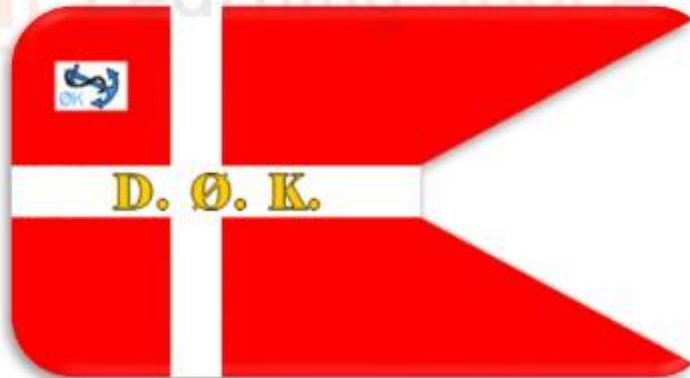
2

DUTCH (PULICAT)



3

ENGLISH(SURAT)



4

DANISH(TRANQUEBAR)



5

FRENCH (PONDICHERY)

DANISH EAST INDIA COMPANY

Their principal settlement was at Serampore near Calcutta.

From 1624 to 1636 the Danish trade extended to Surat, Bengal, Java, and Borneo. Tea was imported by them and sold for extremely high profits.

They founded a factory at Tranquebar near Tanjore after a treaty was concluded with the ruler of the Tanjore Kingdom.

Danish East India Company was established in 1616 and held colonial possessions in India for more than 200 years



Britain was trying to prevent Denmark from carrying out the trade with countries with which Britain was at war. Trade was affected. Danish colonies went into decline, and the British ultimately took possession of them.

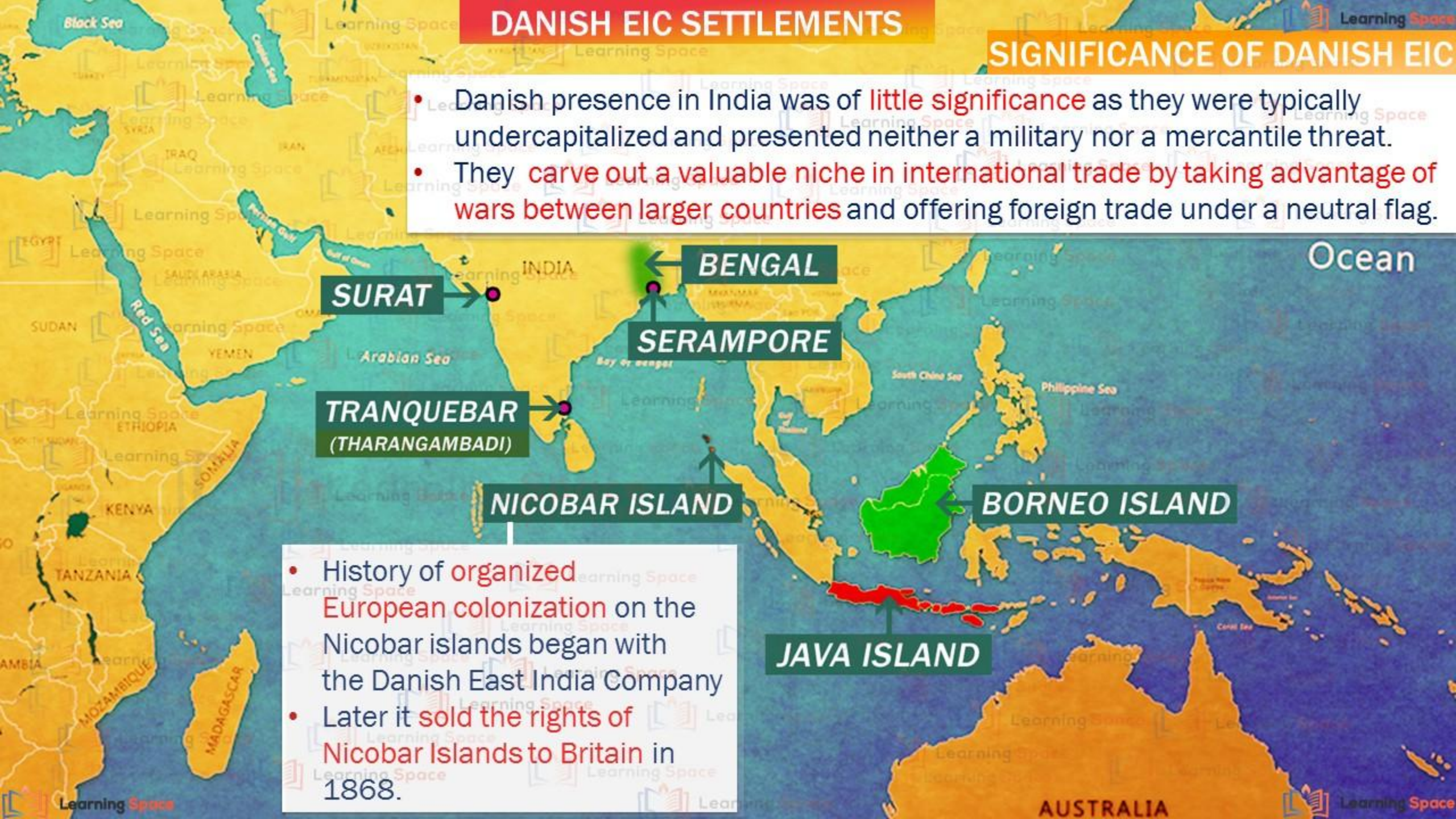
The Danish factories, which were not important at any time, were sold to the British government in 1845.

The Danes are better known for their missionary activities than for commerce.

DANISH EIC SETTLEMENTS

SIGNIFICANCE OF DANISH EIC

- Danish presence in India was of **little significance** as they were typically undercapitalized and presented neither a military nor a mercantile threat.
- They **carve out a valuable niche in international trade by taking advantage of wars between larger countries** and offering foreign trade under a neutral flag.



- History of **organized European colonization** on the Nicobar islands began with the Danish East India Company
- Later it **sold the rights of Nicobar Islands to Britain** in 1868.

MODERN HISTORY

EUROPEAN TRADERS



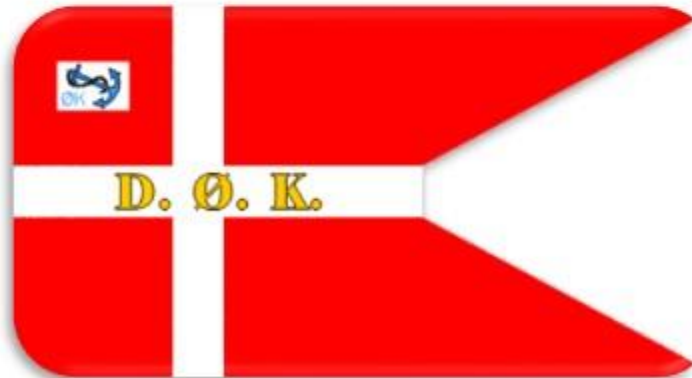
1 PORTUGUESE(CALICUT)



2 DUTCH (PULICAT)



3 ENGLISH(SURAT)



4 DANISH(TRANQUEBAR)



5 FRENCH (PONDICHERY)

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